



The Morning Brief

JUNE 3, 2026

Capex Confirmed

Marvell's record Q1 print and +32.5% session validate the supplier-side AI thesis as sector breadth broadens to seven of eleven and the Russell leads, but Bitcoin slips below \$70,000, IBIT falls 6%, and the Fear & Greed reading hits 11 as the Iran framework deteriorates further with a drone strike on Kuwait's airport.

S&P 500	WTI CRUDE (USO)	BITCOIN	MRVL	FEAR & GREED
7,609.78 ↑0.13%	↑1.31%	~\$69,400 ↓6%	\$290.79 ↑32.52%	11 • Extreme Fear

SECTION 01

Markets

MARVELL'S RECORD Q1 FY27 PRINT AND ↑32.52% SESSION DELIVERED THE CLEANEST SUPPLIER-SIDE AI CAPEX CONFIRMATION AVAILABLE — SECTOR BREADTH BROADENED FROM TWO OF ELEVEN GREEN MONDAY TO SEVEN OF ELEVEN TUESDAY WITH THE RUSSELL 2000 ↑0.93% LEADING

Per the data drop, Tuesday closed with the S&P 500 proxy ↑0.14% to \$759.57 (intraday high \$760.40), the Dow proxy ↑0.51% to \$514.05, and the Nasdaq proxy ↑0.46% to \$746.16 — all three at fresh records per TheStreet and Motley Fool coverage, with the actual SPX closing at 7,609.78. The Russell 2000 proxy ↑0.93% led the day, a notable reversal from Monday's ↓0.50% and consistent with a meaningful breadth shift. The UVXY VIX proxy ↓2.67% to \$29.15, releasing some of Monday's ↑4.10% bid. Per the data drop, sector participation expanded to seven of eleven green from Monday's two: Utilities (XLU ↑1.86%), Tech (XLK ↑1.25%), Materials (XLB ↑1.18%), Energy (XLE ↑1.15%), Industrials (XLI ↑1.04%), Real Estate (XLRE ↑0.51%), and Financials (XLF ↑0.06%) all closed positive. The headline driver was MRVL ↑32.52% to \$290.79 on record Q1 FY27 revenue of \$2.418B (↑28% YoY) and Q2 FY27 guidance of \$2.7B at the mid-point (↑35% YoY) per the company's 8-K, with cash from operations of \$638.8M a record high. The print followed Jensen Huang's reference to MRVL as a potential next trillion-dollar name at Computex per Yahoo coverage and validated the supplier-side capex thesis broadly: CRDO ↑1.28% to \$229.00 (recovering from Monday's after-hours decline, with Roth Capital's \$300 PT maintained per Benzinga), NXPI ↑3.93%, TEL ↑1.72%, LRCX ↑5.45%, ADI ↑5.09%, QCOM ↑5.17% (recovering from Monday's ↓8.78%), and AMD ↑2.24%. Capital goods (CAT ↑5.14%) and miners (FCX ↑6.98%) extended the broadening.

APRIL JOLTS PRINTED AT 7.6 MILLION JOB OPENINGS — THE HIGHEST READING SINCE MID-2024 AND A MATERIAL BEAT VERSUS THE 6.82M CONSENSUS — WHILE QUILTS FELL TO THEIR LOWEST LEVEL SINCE THE PANDEMIC, REINFORCING THE "HOT GROWTH, STABILIZING LABOR" FRAME

Per the BLS release Tuesday, April job openings rose to 7.6M against a 6.82M consensus and a 6.866M prior (revised to 6.9M) — per CNN Business, the highest level in nearly two

years and the first time since June 2024 that openings exceeded job seekers. Hires and total separations both moderated to 5.1M and 5.0M respectively, with quits at 3.0M (lowest since the pandemic per CNN). The print stacked on Monday's ISM Manufacturing 54.0 (highest since May 2022 per ISM World) to extend the "hot growth" sequence into the FOMC blackout starting June 6. ADP's May print lands at 7:15 AM CT today with consensus 117K against a 109K

April prior per the data drop, and ISM Services follows at 9:00 AM CT against a 53.6 April prior per ISM. Friday's May Employment Situation at 7:30 AM CT remains the higher-volatility catalyst per the BLS release schedule. Per Crypto-briefing's coverage of Kashkari's commentary, the Iran conflict's inflation pass-through is complicating the rate-policy framework and has reportedly raised the Minneapolis Fed dissent toward considering a hike rather than a cut as the next move.

BITCOIN SLIPPED BELOW \$70,000 PER YAHOO COVERAGE AS IBIT ↓6.03% AND ETHA ↓4.83% CLOSED AT FRESH NEAR-TERM LOWS — THE FEAR & GREED READING DROPPED FROM 23 (EXTREME FEAR) MONDAY TO 11 (EXTREME FEAR) TUESDAY EVEN AS THE EQUITY INDEX HIT FRESH RECORDS

Per Yahoo and Fortune coverage, Bitcoin traded below \$70,000 Tuesday after sliding from an intraday high near \$72,800, with sources citing sticky inflation, Fed rate-cut uncertainty, and renewed dollar strength (DXY around 99.1 per Tradingeconomics). Per the data drop, IBIT closed ↓6.03% to \$38.05 and ETHA closed ↓4.83% to \$14.38; the

crypto-adjacent equity sleeve followed — COIN ↓4.72% to \$173.99, MARA ↓3.84%, and HOOD ↓2.83% — while HUT ↑0.48% diverged. Per Benzinga, US spot Bitcoin ETFs saw \$480M in net outflows Monday and the four-day cumulative outflow has reached approximately \$1.34B. Per Reuters and the State Department, the US imposed sanctions Tuesday on Nobitex, Iran's largest cryptocurrency exchange, tightening the financial squeeze on the regime. The Fear & Greed reading at 11 (Extreme Fear) per the data drop — down from 23 Monday and 29 Friday — reflects a sharp single-session sentiment compression even as the equity tape closed at fresh records.

MRVL	\$290.79 · ↑32.52% on record Q1 FY27
CRDO	\$229.00 · ↑1.28% recovering from AH
NVDA	\$222.82 · ↓0.69% pause after Computex
QCOM	\$240.84 · ↑5.17% recovering from Monday
IBIT	\$38.05 · ↓6.03% · fresh near-term low

A session where the AI capex thesis received the cleanest supplier-side confirmation available — a connectivity leader printing ↑28% YoY revenue with ↑35% YoY forward guidance — while sentiment dropped to 11 (Extreme Fear) and Bitcoin slipped below \$70,000 reflects a tape where the macro structure and the sentiment structure have decoupled. Think Like an Owner.

Geopolitics

AN IRANIAN DRONE AND MISSILE SALVO REPORTEDLY STRUCK KUWAIT'S INTERNATIONAL AIRPORT OVERNIGHT PER REUTERS AS THE TALKS FRAMEWORK REMAINS FORMALLY SUSPENDED — OIL HELD BID WITH USO ↑1.31% TUESDAY AND BRENT ABOVE \$95 PER BARREL PER CNBC COVERAGE

Per Reuters reporting overnight into Wednesday, an Iranian drone and missile attack hit Kuwait's international airport amid the continued absence of a working ceasefire framework, with Iran's talks suspension from Monday still in effect per NPR. CNN reported continued US strikes against Iranian targets through Tuesday. Per CNBC, Brent crude futures held above \$95 per barrel Tuesday as the geopolitical risk premium re-built across a third consecutive session of gains. The data drop showed USO ↑1.31% to \$137.27 and BNO ↑0.76%; energy equity participation broadened — CVX ↑0.93% to \$187.55, VLO ↑2.27% to \$258.26, OKE ↑2.08% to \$86.72 — with the XLE sector ETF ↑1.15% on the day. CTRA was a notable outlier at ↓8.62% to \$32.56; the move warrants company-specific diligence. Per Saudi Aramco CEO Amin Nasser cited in earlier coverage, over 600 tankers reportedly remain stuck inside the Persian Gulf with another 240 waiting outside — the structural disruption to Hormuz transit remains the binding constraint on physical oil flows.

THE LEBANON CEASEFIRE TRUMP ANNOUNCED MONDAY WITH HEZBOLLAH'S REPORTED ACCEPTANCE PER THE TIMES OF ISRAEL HAS ALREADY FRAYED — ISRAEL RESUMED STRIKES TUESDAY ACCUSING HEZBOLLAH OF OVERNIGHT ATTACKS PER NBC NEWS, EVEN AS BEIRUT STRIKES REMAIN PAUSED

Per the Times of Israel and Jerusalem Post Monday, President Trump announced a fresh Israel-Hezbollah truce following separate calls with Prime Minister Netanyahu and senior Hezbollah representatives as Trump described them per the Times of Israel, with the Lebanese presidency confirming Hezbollah's acceptance. Per NBC News Tuesday, Israeli strikes on southern Lebanon resumed after the IDF accused

Hezbollah of overnight attacks, though planned strikes on Beirut itself remain paused. Iranian Parliament Speaker Ghalibaf separately warned Tuesday per CBS coverage that continued Israeli action in Lebanon would push Iran further from the negotiation table. The State Department announced sanctions Tuesday on Nobitex per NBC News, Iran's largest digital asset exchange, citing its role in helping the Central Bank of Iran access stablecoin liquidity and facilitating sanctions evasion — tightening the financial squeeze even as the kinetic situation deteriorates. The framework remains the central catalyst into the FOMC blackout starting June 6.

An overnight tape that combined a Kuwait airport strike, a fraying Lebanon truce, and fresh US sanctions on Iran's largest crypto exchange — against an equity index at fresh records and a connectivity supplier printing ↑35% YoY guidance — reflects the kind of split where the war premium and the AI capex bid sit on the same tape simultaneously. The physical world matters.

On Our Radar

1. ADP May employment prints at 7:15 AM CT — consensus 117K vs 109K April prior per the data drop — followed by ISM Services at 9:00 AM CT against a 53.6 April prior per ISM World. The ISM Services Business Activity prior of 55.9 per the data drop will be the more sensitive sub-component if the headline holds expansion. Fed Vice Chair for Supervision Barr speaks at 8:00 AM CT per the data drop calendar, and the S&P Global Composite PMI Final lands at 8:45 AM CT with consensus 51.7 against a 51.7 prior. Together the prints determine whether the “hot growth” sequence from Monday’s ISM Manufacturing 54.0 and Tuesday’s JOLTS 7.6M extends into Friday’s May Employment Situation at 7:30 AM CT per the BLS release schedule — the highest-volatility catalyst inside the pre-blackout window. *Avoid Erosion.*

2. MRVL’s Q2 FY27 revenue guide of \$2.7B at the mid-point — ↑35% YoY per the company’s 8-K — supplies the clean supplier-side AI capex confirmation that CRDO’s in-line \$465–\$475M Q1 print Monday left unresolved. The Q1 result of \$2.418B (↑28% YoY, ↑\$18M above the prior mid-point) with record \$638.8M cash from operations per the 8-K, combined with Huang’s Computex framing of MRVL as a potential next trillion-dollar name per Yahoo, validates the connectivity supplier thesis on both fundamentals and narrative simultaneously. The committee’s connectivity exposure (MRVL, CRDO, NXPI, TEL) sits constructively against the demand thesis — NXPI ↑3.93%, TEL ↑1.72%, CRDO ↑1.28% Tuesday confirmed the read-through. Roth Capital’s reiterated Buy with \$300 PT on CRDO per Benzinga supports the multi-quarter cadence framing. *Think Like an Owner.*

3. The Iran framework deteriorated Tuesday with a reported drone and missile strike on Kuwait's international airport per Reuters — oil reasserted with USO ↑1.31% and Brent above \$95 per barrel per CNBC, against a fraying Lebanon ceasefire per NBC News. The IOWN energy sleeve captured Tuesday's move with CVX ↑0.93%, VLO ↑2.27%, OKE ↑2.08%, and the XLE sector ETF ↑1.15%; CTRA ↓8.62% to \$32.56 was the notable outlier requiring company-specific diligence. Defense (LMT ↓0.59%, GD ↓0.47%) consolidated for the second session despite the escalation. The Trump-brokered Hezbollah-Israel truce announced Monday is already showing strain per NBC News Tuesday coverage, with planned Beirut strikes paused but southern Lebanon action resumed. The committee's energy and defense exposures retain their structural roles through either resolution path. **The physical world matters.**

4. Bitcoin slipped below \$70,000 per Yahoo and Fortune coverage with the Fear & Greed reading dropping to 11 (Extreme Fear) per the data drop — a sharp single-session sentiment compression even as the equity index closed at fresh records. Per Benzinga, US spot Bitcoin ETFs saw approximately \$480M in outflows Monday, extending a four-day cumulative withdrawal near \$1.34B. IBIT ↓6.03% to \$38.05 and ETHA ↓4.83% to \$14.38 per the data drop both closed at fresh near-term lows; the crypto-adjacent equity sleeve followed with COIN ↓4.72%, MARA ↓3.84%, and HOOD ↓2.83%. The US sanctions on Nobitex announced Tuesday by the State Department add a tail risk to the broader digital asset narrative tied to sanctions enforcement and stablecoin flows. The committee's IBIT/ETHA exposure sits against a slower institutional accumulation cadence rather than a thesis-breaking move, but the sentiment compression to single-digit territory warrants attention. *Simplicity Over Complexity.*

5. Sector breadth shifted decisively Tuesday with seven of eleven sectors green versus Monday's two of eleven — the Russell 2000 proxy ↑0.93% led versus Monday's ↓0.50%, suggesting an early sign of rotational broadening rather than a continued mega-cap-only tape. Utilities (XLU ↑1.86%) led, followed by Tech (XLK ↑1.25%), Materials (XLB ↑1.18%), Energy (XLE ↑1.15%), Industrials (XLI ↑1.04%), Real Estate (XLRE ↑0.51%), and Financials (XLF ↑0.06%). Capital goods (CAT ↑5.14%), miners (FCX ↑6.98%), and refiners (VLO ↑2.27%) all participated. Historically, when breadth broadens against an at-record index with simultaneous sentiment deterioration, the resolution tends to be either a rotational extension or a mean-reverting consolidation rather than a directional continuation in either direction. The committee's dual sleeve construction is positioned to capture either path.

6. Carson's active SPY \$645.80 support remains untouched as the index extends to fresh records — Tuesday's SPY proxy intraday low printed \$756.75 per the data drop, well above the level. The framework continues to anchor the committee's structural retracement scenario in the event of a sustained downside catalyst. Per the data drop, the Fear & Greed reading at 11 (Extreme Fear) against an index at fresh records widens the price-vs-sentiment divergence to a magnitude that historically tends to resolve sharply in whichever direction the next macro catalyst breaks. The level remains Carson's framework for any sustained downside scenario rather than an actionable near-term marker. *Research Reveals Opportunities.*